

The beauty of the ROBUST framework is that a do-it-yourself investor can understand, implement, and be successful with the strategy.

Risk Management Research (For Geeks Only)

Fundamental Indicators

We consider a variety of research articles that examine timing indicators related to the macroeconomic environment. This line of research typically involves data from the bureau of labor statistics or data related to assets in the marketplace, which are thought to drive economic success or failure (e.g., oil prices). Here we describe some interesting ideas in this line of research.

Consumption, Aggregate Wealth, and Expected Stock Returns

- Lettau and Ludvigson (2002): *“This paper studies the role of fluctuations in the aggregate consumption–wealth ratio for predicting stock returns. Using U.S. quarterly stock market data, we find that these fluctuations in the consumption–wealth ratio are strong predictors of both real stock returns and excess returns over a Treasury bill rate.”*⁴

Adaptive Macro Indexes and Short-term Variation in Stock Returns

- Bai (2010) Adaptive Macro Indexes: *“Fundamental economic conditions are crucial determinants of equity premia... I find that adaptive macro indexes explain a substantial fraction of the short-term variation in future stock returns and have more forecasting power than both the historical average of stock returns and commonly used predictors.”*⁵